

26SMCV00397 26SMCV00397

County: los-angeles

Division: Civil Law and Motion

Department: 205

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Case Number: 26SMCV00397 Hearing Date: July 9, 2026 Dept: 205

Superior Court of California

County of Los Angeles

Beverly

Hills Courthouse | Department 205

THE PEOPLE OF THE STATE OF
CALIFORNIA,

Plaintiff,

v.

HAMID ENAYATI a/k/a ANDREW

ENAYATI a/k/a ANDY ENAYATI, individually and as Trustee of the ENA Property
Trust dated 4/15/13, et al.,

Defendants.

Case No.:

26SMCV00397

Hearing Date: 7/9/26

Trial Date:

None set

[TENTATIVE] RULING RE:

Demurrer to the Complaint

Background

On January

22, 2026, Plaintiff the People of the State of California ("Plaintiff") filed the operative Complaint against Defendants Hamid Enayati a/k/a Andrew Enayati a/k/a Andy Enayati, individually and as a Trustee of the ENA Property Trust dated 4/15/13; Nicole Massarat a/k/a Nicole Enayati; Nina Enayati; Jaleh Forouhar a/k/a Jaleh Enayati, individually and as a Trustee of the Marital Trust under the ENA1 Property Trust dated 4/15/13; Nina Property Management, Inc.; The 1028, LLC; 1111 11th Street, LLC; 1837 Glendon Avenue, LLC; ENA1, LLC; ENA2, LLC; ENA3, LLC; ENA4, LLC; ENA5, LLC; ENA6, LLC; ENA7, LLC; ENA8, LLC; ENA9, LLC; ENA10, LLC (jointly, "Enayati Defendants"); and DOES 1 through 10 (collectively, "Defendants"), asserting causes of action for: (1) Violation of Unfair Competition Law ("UCL") and (2) Violation of the False Advertising Law.

On May 4,

2026, Enayati Defendants filed the instant Demurrer to the Complaint. On June 8, 2026, Plaintiff filed an Opposition. On July 1, 2026, Enayati Defendants filed a Reply.

Request for Judicial Notice

Enayati

Defendants request judicial notice of the following documents and exhibits concerning emails, meeting minutes, commission reports, memoranda, and videos related to the enactment of Santa Monica Municipal Code Section 6.22. Plaintiff objects to the extent that Enayati Defendants seek the Court's consideration of the truth of matters asserted therein.

"Regulations and legislative

enactments issued by or under the authority of the United States or any public entity in the United States" may be judicially noticed. (Evid. Code, § 452, subd. (b); see also *Montalvo v. Madera Unified Sch. Dist. Bd. of Education* (1971) 21 Cal.App.3d 323, 329; *U.S. v. Schneiderman* (S.D. Cal. 1952) 106 F.Supp. 731, 734; *People of State of Cal. v. Coast Federal Sav. & Loan Ass'n* (S.D. Cal. 1951) 98 F.Supp.

311, 316.) Likewise, “courts must take judicial notice of the public and private official acts of the legislative, executive, and judicial departments of this state and of the United States government.” (Arnold v. Universal Oil Land Co. (1941) 45 Cal.App.2d 522, 529.)

The request
for judicial notice is GRANTED per Evidence Code Section 452,
subdivisions (b) and (c) except as to hearsay and facts in dispute.

Legal Standard

“The primary function
of a pleading is to give the other party notice so that it may prepare its case [citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights.” (Harris v. City of Santa Monica (2013) 56 Cal.4th 203, 240.)

“A demurrer tests the
legal sufficiency of the factual allegations in a complaint.” (Ivanoff v. Bank of America, N.A. (2017) 9 Cal.App.5th 719, 725.) The Court looks to whether “the complaint alleges facts sufficient to state a cause of action or discloses a complete defense.” (Id.) The Court does not “read passages from a complaint in isolation; in reviewing a ruling on a demurrer, we read the complaint ‘as a whole and its parts in their context.’ [Citation.]” (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 804.) The Court “assume[s] the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken.” (Harris, supra, 56 Cal.4th p. 240.)
“The court does not, however, assume the truth of contentions, deductions or conclusions of law. [Citation.]” (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1358.)

A general demurrer may
be brought under Code of Civil Procedure section 430.10, subdivision (e) if insufficient facts are stated to support the cause of action asserted or under section 430.10, subdivision (a), where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. All other grounds listed in Section 430.10, including uncertainty under subdivision (f), are special

demurrers. Special demurrers are not allowed in limited jurisdiction courts.

(Code Civ. Proc., § 92, subd. (c).)¿¿¿

¿

Leave to amend must be

allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)¿¿

Meet and Confer

Prior to filing

a demurrer, the demurring party is required to meet and confer in person, by telephone, or by videoconference with the party who filed the pleading demurred to for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., § 430.41.)¿¿

Here, Enayati

Defendants' advance the declaration of their counsel of record, Joseph Trujillo attests to meeting and conferring with Plaintiff's counsel via videoconference on April 28, 2026. (Trujillo Decl., ¶4.) The parties were unable to reach an informal agreement. (Id.) Thus, Enayati Defendants fulfilled the meet and confer requirement.

Analysis

Here,

Enayati Defendants argue that the Complaint fails entirely because it is premised on a violation of Santa Monica Municipal Code ("SMMC") Section 6.22, which (1) is preempted by the Costa Hawkins Act under Civil Code Section 1954.50; (2) contains no exemption for preexisting lawful uses; and (3) fails to comply with the requirements set forth in the Coastal Act under California Public Resources Code Section 30000.

Preemption

"Ruling

on a facial challenge to a local ordinance, the court considers the text of the

measure itself, not its application to any particular circumstances or individual.” (California Apartment Assn. v. City of Pasadena (2025) 117 Cal.App.5th 187, 233.) “The party claiming that general state law preempts a local ordinance has the burden of demonstrating preemption.” (Rental Housing Assn. of Northern Alameda County v. City of Oakland (2009) 171 Cal.App.4th 741, 752.) “A conflict exists if the local legislation ‘duplicates, contradicts, or enters an area fully occupied by general law, either expressly or by legislative implication.’” (Id.)

Here, it is undisputed that the Complaint is premised on Enayati Defendants’ alleged violation of SMMC Section 6.22.050, 6.22.060, 6.22.070, and 6.22.090. (See Compl., ¶¶9-26, 29-30, 33-38, 40-49, 58, 69-74, 76, 78.) Under SMMC Section 6.22.090, “No person shall undertake, maintain, authorize, aid, facilitate or advertise any lease of a rental housing unit that does not comply with this Chapter.” (SMMC § 6.22.090.) Specifically, “[a] landlord and tenant may enter into a lease only if the tenant will use and occupy the rental housing unit as the tenant’s primary residence. No later than sixty days following the commencement of the lease, the tenant must provide and the landlord must receive documentation as specified in Section 6.22.020(c) that the rental housing unit is the tenant’s primary residence. Landlord shall retain this documentation throughout the duration of tenant’s lease and shall provide it to the Director of the Community Development Department or delegee on request.” (Id., § 6.22.050.) Furthermore, a landlord and tenant may enter into a lease “only if it is in writing and for an initial lease term of no less than one year” and “the rental housing unit is an unfurnished rental housing unit.” (Id., §§ 6.22.060-6.22.070.)

A “primary residence” is defined as “the usual place of return for housing of an owner or tenant, as documented by at least two of the following: motor vehicle registration; driver’s license or California State identification card; voter registration; income tax return; proof of payment of resident tuition to a California public institution of higher education, including proof of payment in accordance with an exemption to payment of nonresident tuition under California Assembly Bill 540, the California DREAM Act; or a utility bill. An owner or tenant can only have one primary residence.” (SMMC § 6.22.020.) An “unfurnished rental housing unit” is defined as “a rental housing unit that is delivered by the landlord to the tenant without any furnishings, computer equipment, housewares, bed linens, towels, artwork, televisions, entertainment

systems, or appliances except for a stove, a refrigerator, a microwave, a dishwasher, a clothes washing machine and/or a clothes dryer.” (Id.)

To

the extent that Enayati Defendants contend SMMC Section 6.22 is preempted by the Costa Hawkins Act, the Court disagrees. “The Costa-Hawkins Act was enacted in 1995 ‘to relieve landlords from some of the burdens of ‘strict’ and ‘extreme’ rent control, which the proponents of [the] Costa-Hawkins [Act] contended unduly and unfairly interfered with the free market.’ ” (California Apartment Assn., *supra*, 117 Cal.App.5th 231.) The alleged violations do not concern controlling rent prices initially set by landlords for vacant units nor does SMMC Section 6.22 make any mention of rent increases/levels. Similarly, Enayati Defendants assertion that the Santa Monica City Charter gave exclusive authority to the Rent Board to regulate rent-related matters disregards that this authority is limited to enacting replacement regulations where prior regulations have been invalidated or found to be unenforceable by a court, the State, or Federal legislation. (Santa Monica City Charter (“SMCC”) § 1802, subd. (e).) There is no indication that the City Council is prohibited from enacting initial regulations.

Compliance with the Coastal Act

Next, the

Coastal Act under California Public Resources Code Section 30000 et seq. applies to properties within the boundaries of a coastal zone. (See *Sierra Club v. California Coastal Com.* (2005) 35 Cal.4th 839, 853.) As such, Plaintiff argues that SMMC Section 6.22 is not invalid or preempted by the Coastal Act because the Complaint addresses only non-coastal properties and SMMC Section 6.22 applies exclusively to non-coastal properties. (Opp. at 1:24-2:1, 11:22-12:9, fn. 10.) Although Enayati Defendants contend that SMMC Section 6.22 extends to the coastal zone, it does not appear on the face of the Complaint, the judicially noticed facts, nor the statute itself that it applies to such properties.

First Cause of

Action for Violation of UCL

“To bring

a UCL claim, a plaintiff must show either an (1) ‘unlawful, unfair, or fraudulent business act or practice,’ or (2) ‘unfair, deceptive, untrue or

misleading advertising.’ ” (Adhav v. Midway Rent A Car, Inc. (2019) 37 Cal.App.5th 954, 970.) “ ‘Unlawful’ conduct includes any business practice or act forbidden by local, state or federal statutes or by regulations or case law. [Citation].” (Id.) “ ‘a UCL fraud plaintiff must allege he or she was motivated to act or refrain from action based on the truth or falsity of a defendant’s statement, not merely on the fact it was made.’ [Citation].” (Id.) A plaintiff alleging unfair business practices under these statutes must state with reasonable particularity the facts supporting the statutory elements of the violation.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 619.) However, “[w]hether a practice is deceptive, fraudulent, or unfair is generally a question of fact which requires ‘consideration and weighing of evidence from both sides’ and which usually cannot be made on demurrer.” (Linear Technology Corp., supra, 152 Cal.App.4th 135.)

The

Complaint alleges, inter alia, that Enayati Defendants engaged in unlawful business acts or practices by entering into rental agreement knowing that the occupants did not intend to or would not use the rental housing as their primary residence in violation of SMMC Section 6.22.050; entering into rental agreements for initial terms of less than one year in violation of SMMC Section 6.22.060; renting furnished rental housing units in violation of SMMC Section 6.22.070; failing to provide mandatory notice as required under SMMC Section 6.22.080; and failing to submit vacancy registration forms to the Santa Monica Rent Control Board in violation of SMCC Section 1803, subdivision (q) and Santa Monica Rent Control Board Regulation 13001, subdivision (g). (Compl., ¶76A.) Furthermore, the Enayati Defendants engaged in fraudulent business acts or practices by knowing that the rental housing units were furnished, thus not unfurnished rental housing units as defined in SMMC Section 6.22.020 as asserted in the written lease agreement; knowing the Airbnb guests would not use the housing units as their primary residence as defined under SMMC Section 6.22.020; and knowing that Airbnb guests had booked the rental units for periods of less than one year violating the terms of the written lease stating otherwise. (Id., ¶76B.) Additionally, the Enayati Defendants engaged in unfair business acts or practices by executing written lease agreements purporting to comply with SMMC Section 6.22. (Id., ¶76C.)

Taking

these allegations as true, Plaintiff sufficiently alleges that the Enayati

Defendants engaged in unlawful and unfair business acts or practices that were violation of the provisions set forth in SMMC Section 6.22 by creating and entering into written lease agreements with Airbnb guests, which purported to comply with SMMC Section 6.22 when they in fact did not.

Accordingly,
the demurrer to the first cause of action is OVERRULED.

Second
Cause of Action for Violation of False Advertising Law ("FAL")

"California's
FAL prohibits any 'unfair, deceptive, untrue, or misleading advertising.' " (Ketayi v. Health Enrollment Group (S.D. Cal. 2021) 516 F.Supp.3d 1092, 1129.) "California laws prohibit not only advertising which is false, but also advertising which[,] although true, is either actually misleading or which has a capacity, likelihood or tendency to deceive or confuse the public." (Id.)

"To state
a claim under the UCL, FAL, and CLRA, [Plaintiff] must allege facts satisfying the 'reasonable consumer' standard, i.e., that members of the public are likely to be deceived." (LeGrand v. Abbott Laboratories (N.D. Cal. 2023) 655 F.Supp.3d 871, 890.) " 'Likely to deceive' implies more than a mere possibility that the advertisement might conceivably be misunderstood by some few consumers viewing it in an unreasonable manner." (Id.) "Rather, the phrase indicates that the ad is such that it is probable that a significant portion of the general consuming public or of targeted consumers, acting reasonably in the circumstances, could be misled." (Id.) "In determining whether a statement is misleading under the statute, 'the primary evidence in a false advertising case is the advertising itself.' " (Id.) "Generalized, vague, and unspecified assertions constitute 'mere puffery' upon which a reasonable consumer could not rely, and hence are not actionable." (Oestreicher v. Alienware Corp. (N.D. Cal. 2008) 544 F.Supp.2d 964, 973.)

The
Complaint alleges, inter alia, that the Enayati Defendants presented prospective short-term rental guests with a lease addenda, which stated the units were being delivered vacant and any furniture in the unit was for staging purposes even though this was untrue. (Compl., ¶178A.) The Enayati Defendants also told prospective short-term rental guests that the one-year minimum lease

term provisions were only for purposes of preventing squatters, that booking through Airbnb counted as lawful notice of termination ending the lease before the one-year minimum term had passed even though this was misleading and untrue, in efforts to induce concerned guests to rent the units. (Id., ¶78B.)

The Enayati Defendants also told prospective short-term rental guests that the primary residence provision of the written lease agreements were only for purposes of preventing squatters to mislead guests to rent the units. (Id., ¶78C.)

Taking

these allegations as true, Plaintiff sufficiently alleges that the Enayati Defendants made false statements via the lease provisions provided to their Airbnb rental guests and made misleading statements to these guests to deceive them into renting the units when they expressed concerns. The Complaint identifies specific assertions made to these Airbnb rental guests. (See Compl., ¶49.)

Accordingly,

the demurrer to the second cause of action is OVERRULED.

Conclusion

Based on

the foregoing, the Enayati Defendants' Demurrer to the Complaint is OVERRULED in its entirety.

The

Enayati Defendants are ordered to file an Answer to the Complaint within 20 days of this order.

Dated: July 9, 2026

Edward B. Moreton, Jr.

Judge of the Superior Court